

1. Tacit Knowledge

Tacit knowledge is hard to condense into words or formalise into documents. It is more about intuition and insights that people have built over time through their experiences. This type of knowledge often resides in the minds of individuals. It includes a wide range of things, from practical skills and techniques to deep insights from experience. In startups, tacit knowledge is incredibly valuable; it involves creativity, problem-solving, and no action.

For instance, imagine a seasoned entrepreneur who has launched multiple successful ventures. Their tacit knowledge, gained from years of ups and downs, influences their strategic decisions. Similarly, a product designer's intuitive understanding of user needs and preferences can greatly shape the development of a startup's products.

2. Explicit Knowledge

Unlike tacit knowledge, explicit knowledge is codified, that is, it can be easily communicated through language, documents, or databases. It can be written down, explained, and shared in a structured way. It includes facts and procedures, guidelines, and best practices that can be documented and shared. It is used to disseminate information and standardize processes so that teams get access to the same information. It facilitates collaboration.

How can you ensure the efficient management and transfer of both tacit and explicit knowledge within an organization?

For example, documenting the specifications, design guidelines, and manufacturing processes of a product explicitly ensures that everyone involved in the project understands them. Similarly, sharing customer feedback and market research findings in a structured format helps the team make informed decisions and adapt their strategies accordingly.